

1.3 ECONOMIC SYSTEMS

Multiple Choice Questions

1995/CE/II/20

The Housing Authority is considering whether it should raise the income limits of families for the application of public housing. What basic economic problem(s) is/are involved in this consideration?

- A. What to produce?
- B. How to produce?
- C. For whom to produce?
- D. What and for whom to produce?

2006/CE/II/01

Since the opening of Hong Kong Disneyland, some people have suggested a reduction of the ticket price. This suggestion is related to the _____ question(s) in Economics.

- A. 'what to produce'
- B. 'how to produce'
- C. 'for whom to produce'
- D. 'what, how and for whom to produce'

2009/CE/II/03

A large number of pregnant mainland women give birth to babies in Hong Kong's public hospitals. Some people have suggested imposing an additional surcharge on these women so as to reduce the number of them in Hong Kong's public hospitals.

The above suggestion concerning the service of the public hospitals in Hong Kong is the _____ question in Economics.

- A. 'how to produce'
- B. 'for whom to produce'
- C. 'what to produce'
- D. 'how and for whom to produce'

2010/CE/II/03

Which of the following illustrates the 'For whom to produce' question in Economics?

- A. Local manufacturers set up factories in Guangdong to lower production costs.
- B. The local government is developing cruise tourism in Hong Kong and the Asia Pacific region.
- C. The Hong Kong Science Museum offers free admission to full-time students and senior citizens.
- D. More Hong Kong licensed banks are engaged in the issuance of Renminbi bonds.

2013/DSE/I/01

The Hong Kong government proposes to build new towns with residential flats and shopping malls in the North District. However, there are concerns about the ratio of public housing to private housing. Some people are also worried about the size of shopping malls, which may mainly serve mainland tourists.

The above case is related to the _____ question(s) in Economics.

- A. "for whom to produce"
- B. "what to produce" and "how to produce"
- C. "what to produce" and "for whom to produce"
- D. "how to produce" and "for whom to produce"

2014/DSE/I/04

Mei Ho House (美荷樓), a public housing block built in the 1950s, was recently graded as a historic building in Hong Kong. The building was then turned into a hostel which provides double rooms, family rooms and disabled rooms. The above case is related to the question(s) in Economics.

- A. "how to produce"
- B. "for whom to produce"
- C. "what to produce" and "how to produce"
- D. "what to produce" and "for whom to produce"

2017/DSE/I/01

The operator of a canteen in the government headquarters decides to sell sushi and not burgers anymore because the former can earn a higher profit. This is an example of using _____ to solve the problem of _____.

- A. government command 'what to produce'
- B. government command 'for whom to produce'
- C. market mechanism 'what to produce'
- D. market mechanism 'for whom to produce'

2018/DSE/I/02

The Chief Executive proposed to raise the recurrent education spending by \$5 billion. One of her proposals was to provide a \$30 000 subsidy to eligible secondary school graduates studying self-financing programmes. The above proposal is related to the _____ question(s) in Economics.

- A. 'how to produce'
- B. 'for whom to produce'
- C. 'what to produce' and 'how to produce'
- D. 'what to produce' and 'for whom to produce'

1990/CE/II/03

Basic economic problems in a market economy are mainly solved by

- A. the government
- B. the price mechanism
- C. the entrepreneurs
- D. the consumers

1992/CE/II/05

In a market economy, the allocation of goods and services among consumers is basically determined by

- A. the preference of the government
- B. the preference of sellers
- C. the controlled prices
- D. the price mechanism

1993/CE/II/50

When a centrally-planned economy has changed and become a market economy,

- A. its government will make most economic decisions.
- B. its income distribution will be more even.
- C. private ownership of resources should have already been established.
- D. more shortages of goods and services will occur.

Microeconomics by Topic

I. Basic Concepts

1994/CE/II/04

In the New Territories, an indigenous female resident (女性原居民) cannot inherit her father's property if her father dies without leaving a will. This is an example of resource allocation by

- A. government rationing.
- B. market mechanism.
- C. violence.
- D. social custom.

1994/CE/II/05

Hong Kong is considered to be a market economy because

- (1) it has a high per capita real gross domestic product (GDP).
 - (2) price is used as a means to allocate resources in Hong Kong.
 - (3) it has a system of low taxes.
 - (4) most of its resources are privately owned.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1996/CE/II/03

Hong Kong can be described as a capitalist economy because

- A. all problems of resource allocation are solved by the price mechanism.
- B. income is unevenly distributed.
- C. not all the public utilities are owned by the government.
- D. most resources are privately-owned.

1997/CE/II/04

Which of the following statements about market economy is correct?

- A. There is no non-price competition.
- B. Competition is perfect throughout the economy.
- C. The pattern of production reflects the preferences of consumers.
- D. All resources are privately owned and controlled.

1998/CE/II/03

As compared to a market economy, a planned economy

- A. has a less even income distribution.
- B. must have a lower inflation rate.
- C. must have a lower unemployment rate.
- D. has a smaller proportion of privately-owned resources

1999/CE/II/03

In a market-oriented economy,

- A. the living standard is higher than in a command economy.
- B. the unemployment rate is lower than in a command economy.
- C. resources are mostly allocated according to price signals.
- D. all infrastructure is privately owned.

1999/CE/II/37

The government acquired a large number of stocks and shares in the stock exchange market in 1998. Which of the following is correct?

- A. It will result in a loss of foreign exchange reserves.
- B. It will lead to a contraction of the money supply M3.
- C. It will stop the speculative activities in the stock market.
- D. It will mean a grater extent of government intervention in market mechanism.

2000/CE/II/04

Which of the following markets in Hong Kong rely heavily on price mechanism to solve the three basic economic problems?

- (1) Medical service
 - (2) Education
 - (3) Bank loans
 - (4) Electrical appliances
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

2001/CE/II/02

Which of the following statements about a market economy is correct?

- A. All markets in the economy are perfectly competitive.
- B. Most resources in the economy are owned and controlled by individuals and private firms.
- C. Income is less evenly distributed in a market economy than in a command economy
- D. The unemployment rate is higher in a market economy than in a command economy.

2002/CE/II/05

Which of the following are major determinants of the allocation of goods and services in a market economy?

- (1) the planning of government
 - (2) the costs of production
 - (3) the demand of consumers
 - (4) the controlled prices
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2003/CE/II/04

An economy is considered as a market economy when

- A. the profits tax rate is low.
- B. prices are used to allocate resources.
- C. there is competition in all industries.
- D. there are no restrictions on the entry and exit of firms to all markets.

Microeconomics by Topic

I. Basic Concepts

2004/CE/II/04

Compared to a command economy, a market-oriented economy has

- A. a less even income distribution.
- B. keener competition for goods and services.
- C. more production guided by price signals.
- D. no problem of scarcity.

2005/CE/II/08

Which of the following statements is a correct description of a market-oriented economy?

- A. Most resources are privately owned.
- B. All economic problems are solved by the price mechanism.
- C. Income is less evenly distributed than in a command economy.
- D. There is no non-price competition.

2006/CE/II/04

In a market economy, which of the following are guided by price signals?

- (1) resource allocation
- (2) production decisions
- (3) consumption decisions

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2007/CE/II/03

Compared to a planned economy, a market economy must

- A. have a larger income gap between the rich and the poor.
- B. have higher inflationary pressure.
- C. have a higher unemployment rate.
- D. have a greater proportion of resources directed by the price mechanism.

2008/CE/II/03

An economy is considered as market-oriented when

- A. most of the markets are perfectly competitive.
- B. most of the resources are allocated by the price mechanism.
- C. most of the goods are economic goods.
- D. most of the public utilities are privately owned.

2009/CE/II/04

Which of the following statements about a market-oriented economy is correct?

- A. People who live in a market economy are richer than those in a planned economy.
- B. Most resources are used for producing consumer goods.
- C. Most markets are perfectly competitive.
- D. Most resources are privately owned.

2010/CE/II/05

In a market-oriented economy,

- A. most markets are perfectly competitive.
- B. most resources are allocated by prices.
- C. most production plans are made by the central authority.
- D. most firms produce consumer goods.

2015/DSE/I/03

Which of the following is a characteristic of a market economy?

- A. Income distribution is uneven in the economy.
- B. The government has no role in regulating business activities in the economy.
- C. Most factors of production in the economy are privately owned.
- D. There is only price competition in the economy.

2018/DSE/I/01

Which of the following statements about a planned economy is correct?

- A. The quantity of public goods in the economy is greater than that in a market-oriented economy.
- B. Most production activities are carried out by government officials.
- C. All resources are allocated by government commands.
- D. Competitions still exist in the economy.

2019/DSE/I/02

Which of the following statements are related to the problem of 'for whom to produce'?

- (1) Only the elderly and eligible persons with disabilities can enjoy a concessionary fare of \$2 per trip under the Public Transport Fare Concession Scheme.
 - (2) Public rental housing (PRH) households whose family income exceeds 5 times the PRH income limits should vacate their PRH flats.
 - (3) The e-Sports & Music Festival moved from Hong Kong Convention and Exhibition Centre to Hong Kong Coliseum to house more fans from all over the world.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2020/DSE/I/01

If a command economy turns into a market-oriented economy,

- (1) the income distribution of the economy will be more uneven.
 - (2) more resources will be allocated by price mechanism.
 - (3) people will have private property rights over all resources.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3)

2021/DSE/I/02

In response to the shortage in face mask market, the Government distributes free reusable CuMask to all Hong Kong citizens.

This is an example of using _____ to solve the problem of _____.

- A. government command ... 'how to produce'
- B. government command ... 'for whom to produce'
- C. market mechanism ... 'how to produce'
- D. market mechanism ... 'for whom to produce'

2022/DSE/I/01

Refer to the folio wing information of the COVID-19 vaccination programme.

- All residents are eligible for joining the programme free-of-charge.
- The government has set up vaccination centres in some government buildings and deployed civil servants to work in these centres.

The above information is related to the _____ question(s) in Economics.

- (1) 'what to produce'
- (2) 'how to produce'
- (3) 'for whom to produce'

- A. (3) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

2025/DSE/I/02

Compared to a planned economy, _____.

- (1) individuals in a market economy tend to have higher freedom when deciding the allocation of resources
- (2) interest rate in a market economy tends to be higher
- (3) resource allocation in a market economy tends to rely less on non-price competition

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2025/DSE/I/04

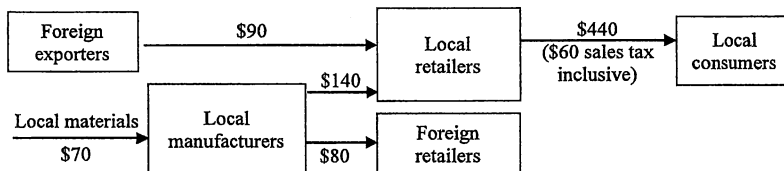
In response to a rise in the demand for electric vehicles, a manufacturer decided to produce more electric vehicles and sell them at a higher price.

The above decision of the manufacturer is related to the _____ question(s) in Economics because it is related to _____.

- (1) 'what to produce'the choice on the quantity of outputs
 - (2) 'how to produce'the choice on factor inputs
 - (3) 'for whom to produce'the distribution of outputs
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1) and (3) only

2025/DSE/I/26

The following diagram shows a production chain of coffee grinders in an economy.



What is the contribution of the above production chain to the economy's GDP at factor cost?

- A. \$370
- B. \$430
- C. \$460
- D. \$490

Short & Structured Questions

1996/CE/I/10(d)

Country A is planned economy and Country B is a market economy. Explain **TWO** differences between these two types of economic systems. (4 marks)

2023/DSE/II/2(b)

Study the following news extract.

A postal company has decided to introduce its first digital employee, a smart chatbot (智能聊天机器人). The chatbot can answer commonly asked questions from customers, freeing up the customer services team to solve more complex queries.

- (b) Which of the three basic economic problems is the decision of the company related to? Explain your answer. (2 marks)